THE HONOURABLE MOHAMMAD AL ZAIBAK
SENATOR - ONTARIO

L'HONORABLE MOHAMMAD AL ZAIBAK
SÉNATEUR - ONTARIO

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CANADA

29 July 2026

Ms. Ericka Paajanen
Clerk, Standing Senate Committee on National Security, Defence and Veterans Affairs
The Senate of Canada, Ottawa, Ontario

Dear Ms. Paajanen,

I am pleased to submit the attached discussion paper titled "***The Multilateral, Multi-Dimensional Partnership Model for Canadian Defence Procurement***", for the consideration of the Senate Standing Committee on National Security, Defence and Veterans Affairs (SECD) in connection with its Order of Reference dated October 29, 2025 respecting defence procurement in the context of Canada's commitment to increase defence spending.

The paper proposes an analytical framework — the Multilateral, Multi-Dimensional Partnership (MMP) model — drawn from five decades of Canadian defence procurement history and applies it to four decisions before the government: advanced fighter aircraft, the Canadian Patrol Submarine Project, Arctic military infrastructure, and artificial intelligence. Two of these decisions have since been announced — the GlobalEye airborne early warning selection (May 2026) and the Type 212CD submarine selection (July 2026) — and the paper examines both as live illustrations of the model. It advances eight findings and nine proposed committee positions (recommendations), organized by implementation horizon, for the Committee's deliberation.

This document is submitted in both official languages. It represents my personal analysis and proposed positions and does not purport to represent the formal position of the Committee, the Canadian Senators Group, or the Senate of Canada.

I would be grateful if you would circulate this document to the members of the Committee as you consider appropriate and arrange posting it on SECD's portals at the earliest opportunity.

Thank you for your kind assistance.

Yours sincerely,

Hon. Mohammad Al Zaibak
Senator for Ontario | Canadian Senators Group (CSG) | Deputy Chair, SECD

Cc. The Honourable Senator Marty Deacon, Chair, SECD

PARLIAMENT BUILDINGS | ÉDIFICES DU PARLEMENT • OTTAWA, ONTARIO, CANADA K1A 0A4
MOHAMMAD.ALZAIBAK@SEN.PARL.GC.CA
+1 (613) 995-1922

DISCUSSION PAPER

Submitted to

the Standing Senate Committee on National Security, Defence and Veterans Affairs (SECD)

The Multilateral, Multi-Dimensional Partnership Model for Canadian Defence Procurement

Historical Evidence, Current Applications, and Proposed Committee Positions

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The Honourable Mohammad Al Zaibak

Independent Senator for Ontario | Canadian Senators Group (CSG)

Deputy Chair, Standing Committee on National Security, Defence and Veterans Affairs (SECD)

Member, Standing Committee on Foreign Affairs and International Trade (AEFA)

July 29, 2026

Disclaimer: *The views and opinions expressed in this document represent those of the author and do not represent the official position of the Senate of Canada.*

This document was commissioned by Senator Mohammad Al Zaibak and was prepared with the assistance of independent advisors. It has been reviewed and approved by Senator Al Zaibak's office for tabling at and further consideration by the Senate of Canada.

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Executive Summary

This discussion paper proposes the Multilateral, Multi-Dimensional Partnership (MMP) model as the analytical framework for evaluating Canada's major defence procurement decisions in the Build-Partner-Buy era. Drawing on five decades of procurement history and the policy context established by Canada's first Defence Industrial Strategy (February 2026), the paper develops the framework, assesses its historical performance, and offers proposed committee positions (recommendations) for the consideration of the Standing Senate Committee on National Security, Defence and Veterans Affairs (SECD) in connection with its comprehensive study of Canadian defence procurement.

The MMP model replaces the simpler 'three-way' framing that has appeared in prior commentary on Canadian procurement. As the documentary and corporate record of the original 1977 AVGP procurement shows, the partnerships underlying Canada's most significant procurement successes have never been simple tripartite arrangements. They have involved multiple sovereign parties, multiple corporate entities, multiple government departments with distinct and occasionally divergent mandates, and multiple dimensions of value — industrial, technological, strategic, and sovereign. The framework proposed here reflects that complexity and provides a more accurate basis for designing and evaluating future partnerships.

The paper examines four current procurement decisions — advanced fighter aircraft, the Canadian Patrol Submarine Project (CPSP), Arctic military infrastructure, and artificial intelligence — through the MMP lens, and advances eight Findings and nine Proposed Committee Positions (Recommendations) organized by implementation horizon. Two of these decisions have since been announced — GlobalEye (May 2026) and the Type 212CD submarine selection (July 2026) — and both are examined as live illustrations of the model in operation.

Introduction

Canada's defence procurement decisions are being made at a moment of rare historical consequence. Russia's invasion of Ukraine has exposed the inadequacy of post-Cold War assumptions about European security. Great-power competition in the Arctic is intensifying. The Indo-Pacific has emerged as a second theatre of strategic priority. And the reliability of longstanding bilateral arrangements with Canada's closest ally is subject to political pressures that would have seemed implausible a decade ago.

Canada's Budget 2025 committed to defence spending at two percent of GDP — a generational investment backed by close to $180 billion in defence procurement opportunities and $290 billion in broader defence-related capital investment over the next decade. Canada's first Defence Industrial Strategy, released in February 2026, establishes the Build-Partner-Buy (BPB) framework to guide how this investment

translates into sovereign industrial capacity. The Standing Senate Committee on National Security, Defence and Veterans Affairs (SECD) is conducting a comprehensive study of Canadian defence procurement concurrently with these reforms.

This discussion paper is submitted in connection with that study. It does not represent the formal position of SECD, the Canadian Senators Group, or the Senate of Canada. It advances an analytical framework — the Multilateral, Multi-Dimensional Partnership (MMP) model — drawn from five decades of Canadian procurement history, and proposes specific recommendations for SECD's deliberation. Since this analysis was first developed, two major procurement decisions have been announced that illustrate the MMP model in operation: the selection of Saab's GlobalEye for the Royal Canadian Air Force's airborne early warning and control requirement (announced at CANSEC on May 27, 2026) and the selection of ThyssenKrupp Marine Systems' Type 212CD for the Canadian Patrol Submarine Project (announced July 6, 2026). Both are examined below as live illustrations of the framework this paper proposes — most clearly in the logic by which each decision was reached.

PART I — THE MULTILATERAL, MULTI-DIMENSIONAL PARTNERSHIP FRAMEWORK

1. Policy Context: The Build-Partner-Buy Framework (2026)

Canada's first Defence Industrial Strategy (February 2026) establishes a formal hierarchy for procurement decisions. The Build-Partner-Buy framework defines three tiers:

- Build: The default where Canada has existing industrial strength or sovereign control is essential. Contracts directed to Canadian firms; the national security exception may be invoked to exclude foreign bidders.
- Partner: Where Canada lacks domestic capability or allied collaboration adds strategic value. Defined by joint work, joint building, and reciprocal sharing of key technologies and intellectual property.
- Buy: Where Build and Partner are not feasible, and only with strong conditions requiring domestic industrial reinvestment.

The Industrial and Technological Benefits (ITB) Policy — which requires companies awarded major defence contracts over $100 million to invest equivalent value back into the Canadian economy — is being reformed by Innovation, Science and Economic Development Canada (ISED) in 2026 to align with BPB objectives. These reforms provide the immediate policy vehicle for several of the proposed committee positions advanced in this paper.

In effect, the Build-Partner-Buy framework is a formal codification of the MMP logic that Canada has applied informally since 1977. The historical programs examined in this paper constitute the available evidence base for how that framework will perform in practice — including its failure modes.

2. Defining the Multilateral, Multi-Dimensional Partnership Model

The MMP model is defined as a procurement and industrial strategy arrangement in which multiple sovereign parties — foreign governments, foreign OEMs, Canadian manufacturers, Canadian government departments, and allied industrial partners — each contribute distinct and complementary value across multiple dimensions, including:

- Design authority and intellectual property;
- Manufacturing capability and licensed production;
- Technology transfer and Canadianization;
- Financial investment and domestic industrial reinvestment; and
- Sovereign buying power and strategic alignment.

The model distinguishes itself from simple bilateral OEM-buyer arrangements in three respects: it distributes strategic dependency across multiple partners rather than concentrating it in a single bilateral relationship; it captures value across multiple dimensions rather than trading only military capability for money; and it embeds Canada as an active co-participant rather than a passive buyer.

Within the three tiers of the Build-Partner-Buy framework, MMP arrangements span the Build and Partner tiers. A Build-tier MMP is one in which the Canadian party holds the primary manufacturing role and domestic IP is generated or retained; a Partner-tier MMP is one in which a foreign OEM provides design authority while a Canadian manufacturer contributes production capacity, and the arrangement is governed by technology transfer and industrial participation conditions. The Buy tier, by contrast, is precisely what the MMP model is designed to avoid: a straight foreign supply arrangement with no durable Canadian industrial dimension.

3. The Four Conditions of Success

Historical analysis across five decades of Canadian procurement identifies four conditions that distinguish MMP arrangements that have delivered lasting value from those that have underperformed:

- Industrial participation as a condition of selection. Industrial and technological participation requirements must be a mandatory, scored element of the procurement competition — not a post-award compliance obligation. When

industrial participation is what wins the contract, all parties' incentives are aligned from the outset.

- A sustained pipeline commitment. The industrial base created by a major procurement can only justify the investment it requires if a pipeline of successor work sustains it. A contract without a pipeline is a one-time benefit; an MMP with a pipeline is an industrial strategy.
- Technology transfer, not dependency. The partnership must result in genuine transfer of design authority, manufacturing knowledge, and IP to the Canadian partner — not a relationship of permanent operational dependency on a foreign supplier for updates, authorizations, and sustainment.
- Domestic IP protection provisions. Future arrangements should include co-ownership provisions or right-of-first-refusal mechanisms in the event of corporate ownership changes, to prevent the industrial anchor from being absorbed by a foreign parent and its IP transferred offshore.

4. The Scale-Up Gap

The MMP model addresses a specific and persistent structural challenge in Canadian industrial policy: Canadian firms with relevant manufacturing capability cannot independently finance the capital investment required to enter major military platform production. The R&D costs, tooling requirements, and volume guarantees needed to justify such investment are simply beyond the means of most Canadian manufacturers acting alone.

The MMP model resolves this by pairing Canadian production capacity with a foreign OEM's design IP and the Crown's procurement volume — enabling industrial scale without requiring the Canadian firm to carry full R&D and design risk. This is distinct from, but complementary to, the ITB Policy: the MMP model creates the industrial anchor; ITB obligations fill the supply chain around it. Both instruments are necessary for a complete industrial strategy; neither is sufficient alone.

The scale-up gap is, in essence, the mechanism by which Canada repeatedly ends up as a buyer rather than a builder. The MMP model is the most effective instrument available to bridge that gap, provided the four conditions of success set out above are embedded in the procurement design from the outset.

PART II — HISTORICAL EVIDENCE

1. The AVGP Program (1977–1982): The Founding Case

The Procurement Context

The Armoured Vehicle General Purpose (AVGP) program originated in a 1974 Canadian military requirement for a wheeled armoured vehicle. The international competition attracted fourteen competitors. Swiss firm MOWAG Motorwagenfabrik AG entered its Piranha 6x6 design with a decisive competitive advantage: it had already secured GM's Diesel Division plant in London, Ontario as a licensed Canadian production partner before submitting its bid. No other competitor had done so. This pre-bid industrial arrangement was the determining factor in the selection.

The Four-Party Structure of the AVGP Arrangement

Prior commentary has referred to the AVGP as a 'three-way' arrangement. A closer examination of the contractual and corporate record, however, reveals a structure of greater complexity. The partnership involved at minimum four distinct legal entities, and arguably five or more when the several Canadian government departments — each with distinct mandates and occasionally divergent interests — are counted individually:

- MOWAG (Switzerland) — design authority and IP holder
- General Motors USA (Detroit) — corporate parent, contractual counterparty, and technology licensor
- GM Diesel Division, London, Ontario — manufacturing plant and operational production entity
- Department of National Defence — military requirements authority
- Supply and Services Canada / Industry Canada — contracting authority and industrial benefits overseer

The separation between GM Detroit and the London plant is analytically significant. It created distinct contractual obligations and ultimately divergent exposure to intellectual-property transfer risk when ownership later changed — a structural vulnerability the original arrangement was not designed to address, and one to which this paper returns in its discussion of IP protection.

The AVGP case therefore confirms that major Canadian defence procurements have always been multilateral in their party structure. The MMP framework is, for this reason, more faithful to the historical record than the 'three-way' characterisation and better equipped to guide the more complex allied industrial partnerships that current decisions require.

Industrial Canadianization and Outcomes

GM Diesel Division was not merely an assembler. Canadian engineers replaced MOWAG's original Swiss gasoline engine with a Detroit Diesel 6V53T turbocharged six-cylinder engine — a Canadian-designed and manufactured unit that embedded sovereign industrial content into the vehicle's core powertrain and demonstrated that the Canadian partner was a genuine engineering contributor, not simply a licensed fabricator.

The contract grew from 350 to 491 vehicles (195 Cougars, 269 Grizzlies, 27 Huskies), completed by 1982 — Canada's first major armoured vehicle manufacturing since the Second World War. The partnership then produced 5,000 vehicles across 30 variants over 22 years for the US Marine Corps, the National Guard of Saudi Arabia, Australia, and New Zealand. One procurement decision in 1977 generated industrial output that compounded over five decades and still operates today as GDLS-C in London, Ontario[1].

2. CF-18 New Fighter Aircraft (1980): The Supply-Chain Model

The CF-18 competition selected the McDonnell Douglas F/A-18 in April 1980, with industrial benefits as an explicit scored selection criterion alongside military capability. McDonnell Douglas's winning offset package was valued at approximately $2.7–2.9 billion CAD — roughly 110 percent of the production contract value[2] — projected to deliver 24,000 Canadian jobs in aerospace and electronics over 15 years. The offset was multi-dimensional: commercial and military aircraft component fabrication, avionics programs, engine-related investment, and technology transfer.

The CF-18 offset took the form of supply-chain subcontracting — fabrication of commercial and military aircraft components, avionics, engine-related programs, and technology investment — rather than production-anchored activity, since final assembly was performed at McDonnell Douglas facilities in St. Louis. Canada did not acquire domestic final assembly capability.

The industrial benefits were real and substantial — the Canadian-made components were incorporated into CF-18 aircraft that McDonnell Douglas sold to other international buyers — but they did not create an anchor that persisted independently of the prime contractor relationship.

The CF-18 experience carries a clear lesson. Supply-chain subcontracting offsets deliver economic benefits but not durable manufacturing capability: when the prime contractor relationship ends or shifts, the Canadian benefit largely ends with it. Production-anchored participation, as in the AVGP, is categorically different and considerably more enduring.

3. Halifax-Class Frigate (1983–2003): The Pipeline Failure

Canada inverted the partnership model for the Halifax program: rather than a foreign OEM licensing a Canadian builder, the competition required firms to design and build the ships

entirely in Canada, with foreign technology incorporated only at the subsystems level. Saint John Shipbuilding won the prime contract for six frigates at $3.9 billion; three additional hulls were subcontracted to Marine Industries and Davie Shipbuilding in Quebec.

The program delivered world-class warships. HMCS Halifax, commissioned in 1992, was the first warship built in Canada since 1971, and the Halifax-Class Modernization program (2010–16) was subsequently recognised internationally as a partnership model for naval sustainment. However, without a follow-on pipeline, Saint John Shipbuilding was mothballed in 2000 after completing its last frigate and closed permanently in 2003; MIL-Davie Shipbuilding entered insolvency, its assets sold out of bankruptcy in 2006. Skilled workforce, production knowledge, and physical infrastructure built at public expense were substantially lost within a decade of the program's completion.

The Halifax experience carries an equally clear lesson. Even excellent procurement produces only temporary industrial benefit without a pipeline. An industrial base does not sustain itself; it must be sustained by design, through explicit programmatic commitment to successor work. This is precisely the lesson the National Shipbuilding Strategy was created to institutionalize.

4. Canadian Surface Combatant / River-Class Destroyer (2019–present): The Mature Model

The River-class Destroyer program is the most deliberate modern application of the MMP model, explicitly designed to address the Halifax pipeline failure. BAE Systems / Lockheed Martin Canada (UK Type 26 Global Combat Ship design OEM) + Irving Shipbuilding, Halifax NS (Canadian builder) + DND/PSPC (Crown buyer) — embedded within the National Shipbuilding Strategy (NSS) which guarantees a multi-decade pipeline of successive vessel programs. Full-rate production on the first River-class Destroyer began on April 25, 2025.

Beyond the River-class program itself, the same shipbuilding partnership logic now extends outward into a multilateral allied arrangement. The Icebreaker Collaboration Effort (ICE) Pact — a trilateral partnership among Canada, Finland, and the United States, formalized by a memorandum of understanding in November 2024[3] — commits the three nations to co-design, co-produce, and jointly market Arctic and polar icebreakers, pooling shipyard capacity and workforce development across all three industrial bases. Where the River-class demonstrates the MMP model applied to a domestic build under a sustained national pipeline, the ICE Pact demonstrates its extension to a genuinely multilateral one, in which the pipeline and the industrial base are shared among allies — an instructive contemporary example of the multilateral, multi-dimensional model applied to a shared capability gap.

5. Cross-Program Pattern Analysis

The ‘Anchor Sustained?’ column is the critical variable. It distinguishes successful industrial strategy from successful procurement.

Program (Year)	OEM Partner(s)	Canadian Manufacturer	Partnership Dimensions	Anchor Sustained?
AVGP (1977)	MOWAG (CH); GM USA (Detroit)	GM Diesel Division, London ON	Licensed production; new plant; technology transfer; Detroit Diesel engine Canadianization; 4-party structure	**Yes**
CF-18 (1980)	McDonnell Douglas (US)	MDC Canada + subcontractors	110% value supply-chain subcontracting; aerospace integration; 24,000 jobs over 15 yrs	**Partial**
Halifax Frigate (1983)	None (inverted model)	Saint John Shipbuilding + MIL-Davie	National design; domestic build; subsystem foreign content	**No**
CSC / River-class (2019–present)	BAE / Lockheed Martin (UK/US)	Irving Shipbuilding, Halifax NS	Licensed design; Canadian build; NSS pipeline; Canada-Finland-US trilateral cooperation	**Yes***

* River-class anchor sustainability is contingent on NSS pipeline commitments being honoured through successive programs.

PART III — CURRENT DECISIONS, FINDINGS AND PROPOSED COMMITTEE POSITIONS

1. Advanced Fighter Aircraft: F-35 vs. Saab Gripen E

The fighter aircraft decision is among the most consequential procurements Canada faces. The F-35 leads the Gripen E in stealth, sensor fusion, and Five Eyes and NATO interoperability — advantages no serious analyst disputes. However, two questions warrant explicit treatment in any MMP-informed evaluation.

The first is strategic dependency. The F-35 requires the United States to authorize software updates and approve mission parameters in ways no other aircraft under consideration does. Whether Canada is comfortable with that degree of operational dependency on a foreign government — any government, under any administration — is a question that belongs in the evaluation criteria, not in an appendix. In the current geopolitical environment, this is not a theoretical concern.

The second is fleet sizing and capability mix. The war in Ukraine has demonstrated that advanced manned aircraft are acutely vulnerable to drone swarms and modern missile systems. Canada already possesses genuine sovereign capability in the patrol and surveillance domain: the CP-140 Aurora's electronics suite was built in Canada, is controlled in Canada, and is capable of further sovereign upgrading. An MMP-informed strategy would build on that existing anchor.

One scenario worthy of evaluation is a diversified fleet: a smaller number of F-35s for high-end stealth and interoperability roles, complemented by Gripen Es for sovereignty patrol, Arctic operations, and lower-dependency operational contexts. Several allied nations operate complementary multi-type fighter fleets. This approach would address both the dependency concern and the fleet-sizing question simultaneously, while potentially freeing investment for the drone and missile manufacturing capabilities that Ukraine has demonstrated are essential to modern air defence.

On July 23, 2026, the Government of Canada launched the Defence Drone Initiative (DDI), which will accelerate the development, testing, and production of Canadian uncrewed and autonomous systems, connecting CAF operational requirements with Canadian expertise in drones, AI, aerospace, advanced manufacturing, sensors, and secure communications. This initiative validates and reinforces the investment argument: Canadian drone manufacturing capacity is being treated as a sovereign capability priority by the government itself, concurrent with the fighter aircraft decision.

A closely related decision illustrates the same principle in the airborne surveillance domain. On May 27, 2026, the government announced the selection of Saab's GlobalEye as the preferred supplier for the Royal Canadian Air Force's first airborne early warning and control capability.[4] The arrangement is a textbook multilateral, multi-dimensional partnership: a foreign design authority (Saab) paired with Canadian production (the aircraft is built on Bombardier's Global 6500 platform, with a substantial share of the fleet to be assembled in Canada), sovereign buying power, and value captured across multiple dimensions — industrial employment, an artificial-intelligence partnership with a Canadian firm, in-country training and sustainment, and a direct contribution to NORAD modernization and Arctic sovereignty. It is the participation-as-a-condition-of-selection principle in contemporary practice.

Understood as a Partner-tier procurement under the Build-Partner-Buy framework, the fighter evaluation may benefit from treating industrial partnership proposals as a scored criterion alongside technical capability, with preference for arrangements that include Canadian technology integration — particularly in avionics, AI systems, and sustainment — rather than merely Canadian subcontracting. The question of fleet sizing, and the potential for a mixed-type fleet, may warrant examination before, rather than after, the platform selection.

2. Canadian Patrol Submarine Project (CPSP): TKMS vs. Hanwha Ocean

The CPSP competition — Germany's TKMS versus South Korea's Hanwha Ocean — is framed as a binary platform selection. The choice of submarine partner also carries dimensions that go beyond the technical assessment: it reflects Canada's priorities in European versus Indo-Pacific security architecture, and it shapes the industrial partnership that will sustain Canadian submarine capability for decades.

Each option presents distinct characteristics:

- **TKMS / Germany:** Integration with NATO European defence architecture. The Type 212CD is already being co-developed by Germany and Norway as a binational program — a live precedent for allied submarine co-development that Canada could potentially join or replicate. Strong alignment with Arctic security cooperation frameworks.
- **Hanwha Ocean / South Korea:** Signals Indo-Pacific strategic engagement. South Korea has demonstrated rapid defence industrial scaling and cost competitiveness. The technology transfer and manufacturing partnership implications for a third-country Canadian builder are less established than in the European context.

The analysis above was framed while the CPSP competition remained open, and it anticipated that a genuinely multilateral arrangement — one embedding Canada in an existing allied production programme rather than a stand-alone bilateral path — would best satisfy the four conditions of success. The outcome reflects that logic. On July 6, 2026, the government selected ThyssenKrupp Marine Systems' Type 212CD as preferred supplier, entering Canada into the German–Norwegian production programme for up to twelve submarines and creating a Canada–Germany–Norway partnership in which three NATO allies would operate a common design.[5] As structured, the arrangement pairs a proven foreign design authority with a government-to-government framework, a projected sovereign Canadian sustainment enterprise, and industrial participation for Canadian firms — the multilateral, multi-dimensional model in the form this framework describes. Whether it becomes a successful instance of that model in the fuller sense — pipeline commitment, genuine technology transfer, and IP protection secured — depends on contract terms not yet set, a point to which this paper returns below. What the decision does confirm, unarguably, is the paper's central contention: with both finalists having met the operational requirement, the choice turned on industrial and strategic terms rather than platform performance — participation and partnership structure are where these procurements are truly settled.

The chosen partnership anchors Canada in the European security architecture and, as structured, distributes strategic dependency across two allied partners rather than a single bilateral relationship. It is important, however, to distinguish — as this Senator's

earlier discussion paper on strengthening parliamentary scrutiny of defence procurement urged — between platform selection and strategic architecture. The July 6 announcement settled the platform and the preferred supplier; it did not, and could not, settle the program's strategic architecture. The government's own language is instructive: it will negotiate to procure 'up to twelve' submarines, the Prime Minister has described the process as commercially sensitive and capable of running as long as eighteen months, and Hanwha Ocean has been formally retained as reserve supplier. Partner breadth and final fleet structure therefore remain open questions that the forthcoming negotiation, not the preferred-supplier selection, will resolve.

This open architecture invites a question the Committee may wish to see examined on its own terms. The MMP framework's condition of distributing strategic dependency across multiple partners points beyond a purely Canada–Germany–Norway arrangement: whether a broader multilateral architecture — one that brings South Korea alongside Germany and Norway, aligning the program with both Canada's European and its Indo-Pacific strategic commitments — warrants formal assessment before the architecture is fixed by contract. The retained reserve supplier, the 'up to twelve' framing, and the extended negotiating horizon each leave room for such an assessment. The question is not which platform — that is settled — but whether the widest strategically advantageous partnership structure has been weighed while the terms remain open.

Approached as a Partner-to-Build transition under the framework, the CPSP now turns on terms still to be negotiated rather than on the platform already chosen. As those negotiations proceed, the Committee may wish to satisfy itself on two distinct levels: that the program's strategic architecture — partner breadth and fleet structure — has been examined in its own right, distinct from the platform decision, before it is locked by contract; and that the industrial-participation, technology-transfer, and intellectual-property terms are settled on the conditions of success this framework identifies — the stage at which, as the Halifax experience warns, durable industrial value is either secured or lost.

3. Arctic Military Infrastructure

Canada's North represents the country's most pressing sovereignty challenge and, simultaneously, its clearest Build-first industrial opportunity. Arctic military infrastructure — runways on permafrost, forward operating locations, surveillance networks, resupply logistics, communications infrastructure — requires capabilities that no foreign supplier can fully provide. Cold-climate construction expertise, permafrost engineering, and remote northern logistics exist in Canada and in very few other places in the world.

In the MMP framework, Arctic infrastructure is the paradigm Build-tier case: sovereign by definition, industrial in its employment and supply chain effects, and strategic in its deterrence and presence value. The national security exception should be available to

direct these contracts to Canadian firms. Explicit multi-phase pipeline commitments — covering initial construction, operational maintenance, and future modernization — established at the outset would sustain the industrial anchor created. Indigenous partnership requirements, reflecting both legal obligations of Crown consultation and the practical reality that Northern communities possess knowledge and logistical capabilities essential to successful Arctic construction, should be embedded in program design from the beginning.

As a sovereign Build-tier case under the framework, Arctic military infrastructure procurement invites particular attention to industrial design. The Committee may wish to consider whether current program design for Arctic infrastructure explicitly addresses multi-phase pipeline commitments and Indigenous partnership requirements alongside the technical construction specifications.

4. Artificial Intelligence in Defence Procurement

Artificial intelligence introduces two distinct challenges that the MMP framework must address.

The first is a capability challenge. AI is transforming what military platforms must do: intelligence analysis, logistics optimisation, surveillance, cyber defence, predictive maintenance, autonomous systems, and battlefield awareness are all being reshaped at a pace that traditional procurement processes cannot match. Platforms being evaluated today will operate in an AI-enabled environment substantially different from the one in which they were conceived.

The second is a process challenge. AI is transforming how fast procurement systems must operate. Canada's sequential departmental approval process, lengthy capability definition phases, and post-award industrial benefit negotiations are calibrated to a technology environment that no longer exists. The procurement system itself requires AI-enabled reform — faster evaluation cycles, adaptive contracting, and agile acquisition pathways.

Canada possesses world-class AI research institutions and an internationally competitive AI talent base. The DND/CAF Artificial Intelligence Centre, established within the Digital Services Group in the summer of 2024, is mandated to execute the Department's AI Strategy and provide enterprise-wide direction for AI adoption. These assets represent a sovereign industrial contribution that Canadian partners should bring to MMP arrangements in AI-intensive platform categories — as software integrators, autonomous systems developers, and data architecture specialists — not merely as hardware manufacturers.

Within the framework, AI capability may warrant treatment as a Build-first domain where Canadian capability exists, and a Partner domain where it does not. Canadian AI firms

and the DND/CAF Artificial Intelligence Centre may be positioned as active industrial contributors in Partner-tier arrangements rather than as subcontractors. Concretely, this suggests that each of the three platform decisions examined above — fighters, submarines, and Arctic infrastructure — should carry an explicit AI-integration requirement in its industrial-participation criteria, ensuring that Canadian software, autonomy, and data-architecture capability is embedded in the platform rather than bolted on afterward. The Committee may also wish to examine whether AI-enabled reform of the procurement process itself — faster evaluation cycles and adaptive contracting — is addressed in the Defence Industrial Strategy implementation plan, since a framework that cannot keep pace with the technology it procures will not deliver the capability the Canadian Armed Forces require.

5. Findings

The following findings are offered for the committee's consideration, drawn from the historical analysis and current procurement assessment in this paper.

Finding 1: Canada's most successful major defence procurements have been structured as multilateral, multi-dimensional partnerships involving multiple parties with complementary contributions. The 'three-way' characterisation previously applied to the AVGP model understates the actual complexity of these arrangements, as the contractual and corporate record of the original AVGP programme confirms.

Finding 2: Industrial and technological participation requirements have delivered lasting value when, and only when, they were established as conditions of selection rather than post-award compliance obligations. The AVGP (1977) and CF-18 (1980) competitions both applied this principle effectively; the current ITB Policy framework applies it imperfectly.

Finding 3: The absence of a pipeline commitment is the single most reliable predictor of industrial anchor failure. The Halifax-class program produced world-class warships and dissolved its industrial base within a decade. The National Shipbuilding Strategy is Canada's most mature institutional response to this failure mode; its logic warrants application across all major MMP procurements.

Finding 4: The consolidation of MOWAG and the AVGP London plant under General Dynamics — and the absence of any IP co-ownership or right-of-first-refusal provision in the original arrangement — illustrates a structural vulnerability in bilateral licensing arrangements. Future MMP agreements may benefit from provisions to protect Canada's industrial position against corporate consolidation by foreign parents.

Finding 5: The F-35 procurement raises a strategic dependency concern — the requirement for US authorization of software updates and mission parameters — that warrants explicit assessment as part of the procurement evaluation alongside technical capability and industrial participation.

Finding 6: The CPSP submarine decision reflects the multilateral, multi-dimensional model in its structure, and confirms the paper's central contention about how such decisions are settled, while leaving the program's strategic architecture open. The July 2026 selection of the Type 212CD embeds Canada in an existing Germany–Norway production programme; that the decision turned on strategic and industrial terms rather than platform capability alone — both finalists having met the operational requirement — underscores that partnership structure, not the platform in isolation, is where such procurements are decided. Whether the arrangement succeeds on this framework's conditions, however, turns on contract terms not yet set; and because the government will negotiate for 'up to twelve' boats over a horizon of up to eighteen months, with a reserve supplier retained, the program's architecture — partner breadth and fleet structure — remains a distinct and still-open question from the platform choice.

Finding 7: Arctic military infrastructure is Canada's clearest Build-first opportunity. It requires capabilities that exist in Canada and almost nowhere else, creates sovereign industrial capacity, and represents a significant economic development opportunity for Northern and Indigenous communities.

Finding 8: Canada's world-class AI talent and the DND/CAF Artificial Intelligence Centre constitute sovereign assets that may be positioned as active MMP contributions in Partner-tier arrangements, not merely subcontracting opportunities. AI-enabled procurement process reform is simultaneously required to allow the MMP framework to operate at the pace modern defence technology demands.

6. Proposed Committee Positions – Recommendations

The following positions are proposed for the committee's deliberation in connection with its comprehensive study of Canadian defence procurement. They are organised by implementation horizon.

For Consideration: Immediate (2026)

Recommendation 1 — Adopt the MMP Model as the Evaluation Standard

The committee may wish to consider recommending to the government that the Treasury Board Secretariat and PSPC formally adopt the Multilateral, Multi-Dimensional Partnership model as the analytical framework for evaluating major defence procurements above the ITB Policy threshold. The MMP framework, which reflects the actual structure of Canada's most successful procurement arrangements, provides a more accurate basis for procurement design than current project-by-project approaches.

Recommendation 2 — Mandate Industrial Participation as a Scored Selection Criterion

The committee may wish to consider recommending that binding industrial partnership proposals — addressing manufacturing, technology transfer, IP arrangements, and

pipeline commitments — be a mandatory, scored element of every major procurement competition. The ISED ITB Policy revisions underway in 2026 may provide the appropriate vehicle for this recommendation.

Recommendation 3 — Examine Strategic Dependency in the Fighter Aircraft Evaluation

The committee may wish to examine whether the operational dependency implications of the F-35's software authorization and mission parameter requirements have been addressed as a scored criterion in the procurement evaluation, alongside technical capability and industrial participation. The committee may also wish to examine whether a mixed-type fleet scenario has been formally evaluated.

For Consideration: Near-Term (2026–2027)

Recommendation 4 — Examine CPSP Strategic Architecture Before It Is Locked by Contract

The committee may wish to consider recommending that, while CPSP negotiations remain open, the government satisfy Parliament that the program's strategic architecture has been assessed on its own terms, distinct from the platform selection already made. This includes whether a broader multilateral arrangement — bringing South Korea alongside Germany and Norway to align the program with both Canada's European and Indo-Pacific commitments — has received formal assessment; and that the final agreement secure the conditions of success this framework identifies — binding Canadian industrial participation, genuine technology transfer to the domestic sustainment enterprise, and intellectual-property protection — with competitive leverage, including the retained reserve supplier, preserved until those terms are secured. The Type 212CD binational programme and the AUKUS framework offer structural reference points for the multilateral architecture under consideration.[6]

Recommendation 5 — Require Pipeline Commitments for Build and Partner Tier Procurements

The committee may wish to consider recommending that no major MMP procurement proceed to contract award without an explicit, government-committed pipeline plan identifying successor programs that will sustain the industrial capability created. The National Shipbuilding Strategy provides the institutional template; the Halifax closure provides the cautionary precedent.

Recommendation 6 — Direct Arctic Infrastructure as Build-First with Indigenous Partnership Requirements

The committee may wish to consider recommending that Arctic military infrastructure contracts be directed to Canadian firms, with explicit multi-phase pipeline commitments and mandatory Indigenous partnership provisions reflecting both legal obligations and practical operational necessity.

Recommendation 7 — Support and Accelerate the Defence Drone Initiative

The committee may wish to consider recommending that the recently launched Defence Drone Initiative (DDI, July 2026) be explicitly linked to the MMP framework, with Canadian drone and autonomous systems manufacturers positioned as sovereign industrial contributors in Partner-tier defence procurement arrangements, and with DDI funding commitments formally protected across budget cycles.

For Consideration: Medium-Term (2027–2029)

Recommendation 8 — Explore IP Co-Ownership Provisions in Partner-Tier Agreements

The committee may wish to consider recommending that PSPC examine standard contractual provisions for domestic IP co-ownership or right-of-first-refusal mechanisms in Partner-tier MMP arrangements, subject to legal assessment of compatibility with Canada's trade obligations. This is acknowledged as a medium-term policy design objective requiring careful legal and diplomatic work.

Recommendation 9 — Reform Procurement Timelines to Match AI-Era Technology Velocity

The committee may wish to consider recommending that the Treasury Board Secretariat undertake a review of defence procurement timelines and approval processes with the objective of reducing time-to-contract to a pace compatible with the rate of change of AI and autonomous systems technology. Adaptive contracting and agile acquisition pathways warrant development as standard instruments alongside traditional methods.

Conclusion

Canada has been practising the Multilateral, Multi-Dimensional Partnership model in its defence procurement for nearly fifty years — without naming it, without fully understanding its conditions of success, and without institutionalizing the pipeline commitments that determine whether its industrial benefits persist. The result has ranged from exceptional — the AVGP program, whose industrial legacy still operates in London, Ontario today — to avoidable failure — the Halifax shipyard closure, whose consequences took a decade to manifest and a generation to begin correcting.

Canada's first Defence Industrial Strategy provides, for the first time, a formal framework — Build-Partner-Buy — that encodes the MMP model's logic as explicit government policy. What it cannot do is write the contract clauses, pipeline commitments, IP provisions, and evaluation criteria where the model's success or failure is actually determined. That is the work of procurement design, parliamentary oversight, and sustained policy will.

The documentary record of the original AVGP negotiation — an arrangement that required the coordination of four parties across three jurisdictions — offers a timely reminder that these partnerships are genuinely complex, and that their complexity is both the source of their difficulty and the source of their enduring value. It was possible and necessary then. It is possible and necessary now.

The historical record provides the evidence base. The analytical framework is available. The question is whether Canada will build on the foundations that five decades of procurement history have laid — or rediscover those lessons, once again, in the aftermath of the next avoidable failure. That framework is no longer merely prospective: in the GlobalEye and Type 212CD decisions of 2026, Canada has already reached for the multilateral, multi-dimensional partnership as its preferred structure — and whether those partnerships realise their full promise now rests, as it always has, on the terms secured and the pipeline sustained.

Appendix: Abbreviations and Acronyms

AEFA — Standing Senate Committee on Foreign Affairs and International Trade
AEW&C — Airborne Early Warning and Control
AUKUS — Australia–United Kingdom–United States security partnership (2021)
AVGP — Armoured Vehicle General Purpose
BPB — Build-Partner-Buy
CAF — Canadian Armed Forces
CPSP — Canadian Patrol Submarine Project
CSC — Canadian Surface Combatant
DDI — Defence Drone Initiative
DND — Department of National Defence
GDLS-C — General Dynamics Land Systems – Canada
IP — Intellectual Property
ISED — Innovation, Science and Economic Development Canada
ITB — Industrial and Technological Benefits
MMP — Multilateral, Multi-Dimensional Partnership
NSS — National Shipbuilding Strategy
OEM — Original Equipment Manufacturer
PSPC — Public Services and Procurement Canada
SECD — Standing Senate Committee on National Security, Defence and Veterans Affairs
SSN — Ship, Submersible, Nuclear (nuclear-powered submarine)

Sources and Notes

The principal sources consulted in the preparation of this paper are listed below.

- Canada's Defence Industrial Strategy (February 2026).
- DND/CAF Departmental Plans, 2025–26 and 2026–27.
- DND/CAF Artificial Intelligence Strategy (2024).
- Government of Canada, Defence Drone Initiative announcement (July 23, 2026).
- Government of Canada and Saab announcements on the GlobalEye AEW&C selection (May 2026).
- Government of Canada and TKMS announcements on the Canadian Patrol Submarine Project (July 2026).
- Published procurement records on the AVGP, CF-18, Halifax-class frigate, and River-class programs.
- Published contractual and corporate record of the AVGP programme, including the corporate histories of MOWAG, General Motors Diesel Division, and General Dynamics Land Systems – Canada.

[1] The AVGP partnership ultimately produced approximately 5,000 vehicles across some 30 variants over 22 years for domestic and export customers, including the United States Marine Corps, the National Guard of Saudi Arabia, Australia, and New Zealand. The London, Ontario facility continues in operation today as General Dynamics Land Systems – Canada (GDLS-C). Source: corporate histories of General Motors Diesel Division and General Dynamics Land Systems – Canada.
[2] The CF-18 offset package was valued at approximately CAD $2.7–2.9 billion, roughly 110 percent of the production contract value, and was projected to generate some 24,000 person-years of employment in the Canadian aerospace and electronics sectors over fifteen years. Source: Government of Canada procurement records and Department of National Defence historical program summaries.
[3] The Icebreaker Collaboration Effort (ICE) Pact was first announced by Canada, Finland, and the United States at the NATO Summit in July 2024 and formalized through a trilateral memorandum of understanding signed in November 2024. Source: Government of Canada and partner-government announcements.
[4] Saab GlobalEye selection announced by the Prime Minister at CANSEC, Ottawa, on May 27, 2026; Canada named Saab preferred supplier for the Royal Canadian Air Force's future airborne early warning and control capability, with the aircraft built on Bombardier's Global 6500 platform and a substantial share of the fleet to be produced in Canada. No final contract had been signed at the time of writing. Source: Government of Canada and Saab announcements, May 2026.
[5] Type 212CD / Canadian Patrol Submarine Project selection announced by the Prime Minister at Canadian Forces Base Halifax on July 6, 2026; ThyssenKrupp Marine Systems named preferred supplier for up to twelve submarines, entering Canada into the German–Norwegian Type 212CD production programme. Hanwha Ocean was retained as a fallback pending successful negotiations. No final contract had been signed at the time of writing. Source: Government of Canada and TKMS announcements, July 2026.
[6] AUKUS is a trilateral security partnership among Australia, the United Kingdom, and the United States, announced in September 2021. Under its first pillar, Australia is acquiring a conventionally armed, nuclear-powered submarine capability, with the SSN-AUKUS to be developed on a United Kingdom design incorporating technology from all three partners. Source: joint AUKUS leaders' statements and partner-government publications.